Grigg wrote to Stewart that he had enough evidence to prove that Smith operated heavily in government securities and that some of his friends in the bank were also known to deal in such securities on their private account. In the same letter he told Stewart to disabuse Norman that this was a lover's tiff and get him to apply his mind to the radical cure required.[52] Leslie Melville, Smith's contemporary at the Commonwealth Bank of Australia, referred pointedly to 'a rumour (unverified) that Smith had engaged in some financial transactions which involved a conflict of interest and was eased out of his Bombay job.'[53]

But surprisingly after knowing so much Grigg did not pursue the matter with a full-fledged enquiry into Smith's irregular financial dealings. Nor was there any investigation into the extremely serious charges against Schuster. One can only conclude that since public disclosure would have besmirched the reputation of the bank and jeopardized its public standing and credibility, Grigg did not follow up on this matter. Grigg was wary of a libel suit (as he confided to Taylor) and was unsure if the evidence he had against Smith could really nail him. Likewise, an enquiry into Schuster's dealings would have resulted in a most embarrassing scandal that would have seriously undermined the prestige of the Raj. It is also possible that the use of privileged information was so rampant at the time that such activity was not considered malfeasance. And had there not been such extreme hostility between Grigg and Smith, the latter's actions may not have attracted any adverse notice.

ENDGAME

By May 1936, Grigg had prepared the ground for Smith's departure from the bank by providing the Viceroy, Lord Linlithgow, with 'sufficient information' about why Smith must resign from the bank. The Viceroy was convinced and accordingly communicated his decision to make Smith resign to the Secretary of State and the Governor of the Bank of England, with the latter being asked to provide Smith with alternate employment. Surprisingly, Smith waited till January 1936, to protest against Grigg's treatment of him to Norman. Stewart in a letter to Grigg told him that Smith would make trouble for him but would not do anything drastic without Norman's encouragement which he was not getting thus far. Stewart felt